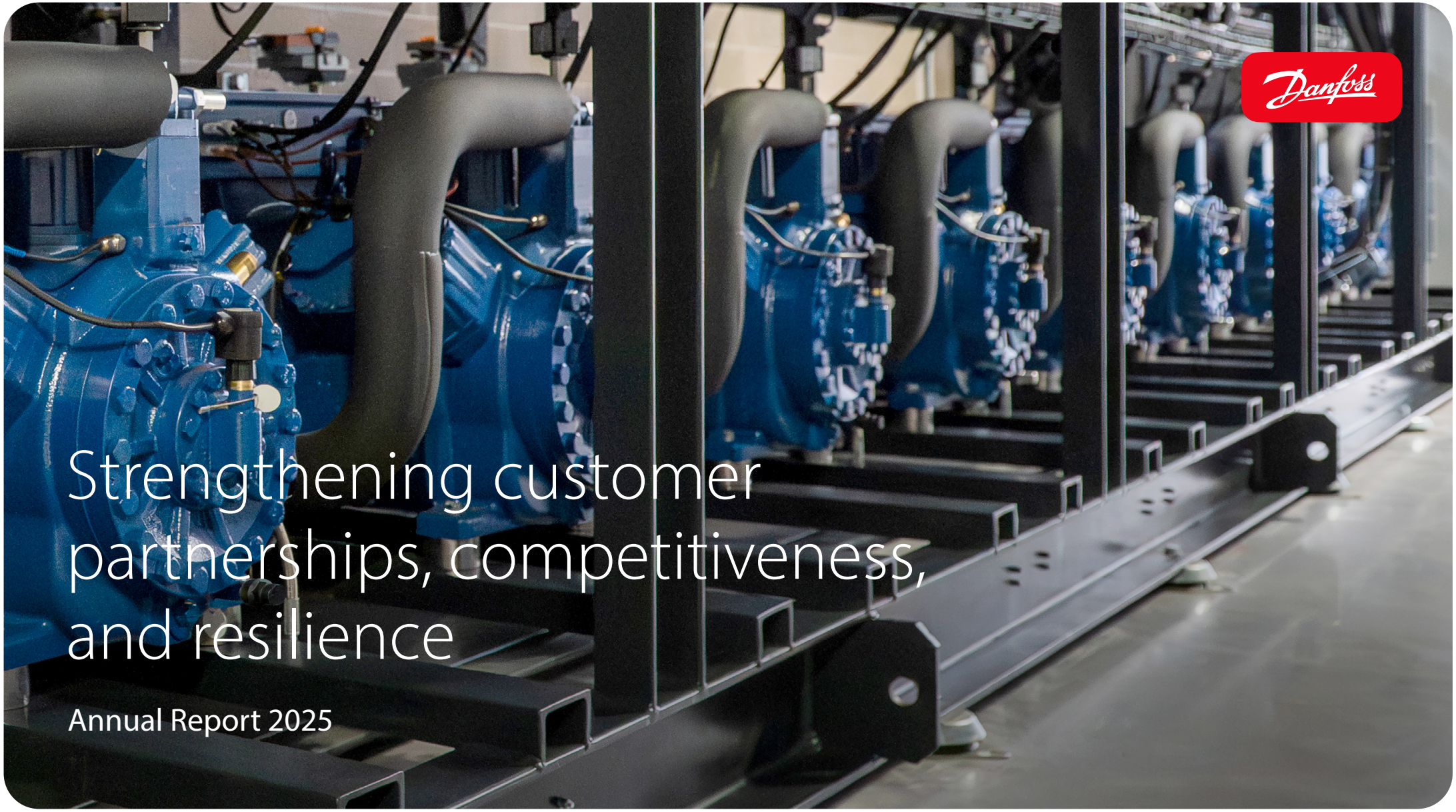

Strengthening customer partnerships, competitiveness, and resilience

Annual Report 2025

Explore our solutions
danfoss.com

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↑ **Cover photo**
Industrial processes demand precision and performance as the shift to low-carbon operations accelerates. Our advanced technologies and solutions, such as the heat pump rack mounted with Danfoss BOCK® compressors, support our customers in decarbonizing energy-intensive industries. They enable reliable cooling and heating, and high efficiency in complex environments, while maintaining competitiveness in the global market.

CEO letter

Danfoss is well positioned for the future

Inspired by our purpose, we are engineering solutions that increase machine productivity, reduce emissions, lower energy consumption, and enable electrification. Driven by our new LEAP 2030 strategy, we continue to strengthen customer partnerships and competitiveness, and to demonstrate resilience in the market. With a strong balance sheet and record-high cash flow, we are well positioned to continue investing in the future.

2025 was a year that demonstrated Danfoss' resilience and our proactive management of our business performance over the cycle. We continued to strengthen our customer partnerships and our leading global positions across our three core business segments. With our operating model in place, we launched LEAP 2030, a bold, five-year strategy that is already generating initial results.

Continuously improved financial performance

Throughout 2025, our growth momentum improved significantly, and we delivered organic growth in the second half of 9%. With a strong balance sheet and record-high cash flow, we are well positioned to continue investing in our business, driving organic and inorganic growth.

While we saw strong sales momentum in China throughout the year, signs of recovery in Europe remained less pronounced. Our strong growth in the US was due primarily to growth in our data center business, though it was balanced by lower demand in the US agriculture market.

Despite a high degree of localized production, tariffs continued to impact our business, and we worked closely with customers and partners throughout the year to mitigate the effects.

Sustainability drives competitiveness

Sustainability is at the core of our business and our LEAP 2030 strategy.

In 2025, five years ahead of plan, we achieved our SBTi-validated target to reduce our own emissions (scope 1 and 2) by 46.2% by 2030. In 2025 alone, we reduced our own emissions by 33%. We reaffirmed our commitment to decarbonization with an updated near-term target and a new long-term target, to achieve net-zero across the value chain by 2050.

We also improved our rating scores from EcoVadis and CDP. This affirms our role as a leader in sustainability and a trusted partner in helping our customers achieve their sustainability goals competitively.

Our LEAP 2030 strategy

Based on strong megatrends, we see significant opportunities ahead for Danfoss and our new LEAP 2030 strategy sets clear direction for the next phase of our transformation. It builds on our operating model, which was successfully executed at record speed and enables end-to-end accountability in our businesses for faster decision-making for our customers. Now in full execution, we are focused on further strengthening our position as a resilient partner for our customers and creating long-term value for all our stakeholders.

I am pleased to share a few highlights:

The broadest portfolio in the industry

We invest to deliver the broadest portfolio of innovative, sustainable, and competitive technologies and solutions in the industries we serve. This is strengthened by our state-of-the-art Application Development Centers and laboratories where customers experience first-hand the integration and optimization of our technologies within their own applications.

Highlights from 2025 include the acquisition of hose fittings manufacturer Hydro Holding by our Danfoss Power Solutions segment. Hydro Holding strengthens our leading position in fluid conveyance for mobile and industrial hydraulics as well as data centers.

We also continue to strengthen our electrification portfolio, which includes power semiconductor modules, variable speed drives, and solutions for the electrification of heating systems and smart, digitized district energy. Our electrification portfolio also supports applications in marine and power conversion, energy storage, and off highway electrification. As part of our active portfolio management, we have taken steps to find the best future owner of the Automotive Electrification business.

Investing in sustainable innovation and scaling high-growth industries

Our commitment to deliver value to our customers through innovation and technology leadership is a key element of our LEAP 2030 strategy and drives our investment in R&D, which was 5.3% of sales in 2025.

For example, our Danfoss Climate Solutions segment invested in expanding the range of scroll compressors with the next generation for high-temperature heat pumps. Danfoss Power Electronics and Drives has strengthened the intelligent power conversion offering by expanding the iC7 Hybrid and iC7 Marine product range. Danfoss Power Solutions launched X1P, its new platform of open-circuit piston pumps, delivering unmatched performance, reliability, and flexibility in a compact design.

In 2025, investing to scale and serve high-growth industries like data centers was of key importance, with digitalization and AI driving the need for innovative and energy-efficient technologies. We partner and grow with hyperscalers, co-locators, and chip suppliers to set future standards. We significantly invested across our three business segments to expand our offering and scale our operations in order to meet customer demands.

Further regionalizing our manufacturing footprint

As a global company, we source, produce, and deliver close to our customers to drive resilience and increase competitiveness. In 2025, we further expanded our global factory footprint across the Americas, Europe, and Asia to better serve customers locally.

A strong digital backbone in place

Furthermore, we continued to realize the benefits of our significant investment in our digital infrastructure, clean data, and automated processes. We can now apply AI seamlessly where it creates real value – enhancing speed, accuracy, and relevance to improve the customer experience and productivity. Today, 75% of all customer orders are received and handled digitally with significant additional potential by deploying AI.

Engaged global teams

Key to the successful execution of our LEAP 2030 strategy is the strong engagement and determination across our global teams to drive impact. Despite the significant organizational changes and the volatile external environment, employee engagement remained high. Our global engagement survey reached a record-high response rate of 93%, with high engagement levels comparable to those seen in previous years.

It is a source of pride to witness our global teams, who live the Danfoss behaviors every day, demonstrate the entrepreneurial spirit and growth mindset grounded in our Danfoss DNA. They are key drivers of our improved performance in 2025.

Uniquely positioned for the future

The world remains volatile, and this is unlikely to change in the near term. Yet as I reflect on 2025, I am proud of what we have achieved together at Danfoss. I would like to sincerely thank our engaged global teams for creating impact throughout the year.

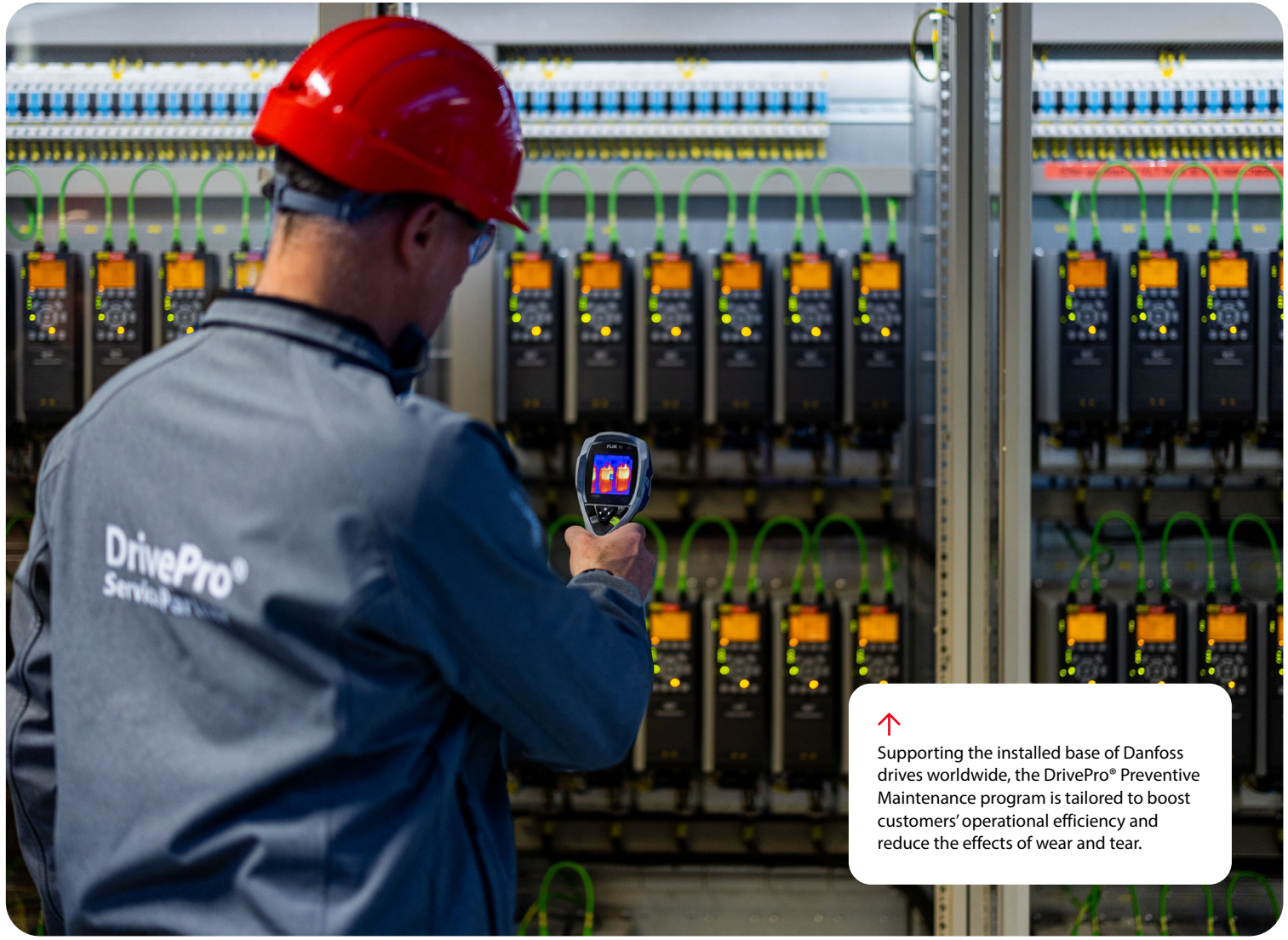
We are convinced that our commitment to strong partnerships with our customers and continued investments in the future are instrumental to success and to delivering long-term economic and sustainable value to all our stakeholders.

My sincere gratitude also extends to our customers and partners for their ongoing trust and collaboration.

Guided by our inspiring purpose to engineer a better future, Danfoss is uniquely positioned to capitalize on the significant opportunities created by strong megatrends. With our decentralized operating model in place and our LEAP 2030 strategy in full execution, I am confident the best days lie ahead for Danfoss.

Kim Fausing
President and CEO

Danfoss at a glance



Supporting the installed base of Danfoss drives worldwide, the DrivePro® Preventive Maintenance program is tailored to boost customers' operational efficiency and reduce the effects of wear and tear.

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Danfoss in brief

We engineer solutions that increase machine productivity, reduce emissions, lower energy consumption, and enable electrification.

Business segments

Danfoss Power Solutions

Share of sales: 44%

Full solutions across mobile and industrial hydraulics, fluid conveyance and data center applications, electrification, and software.

Danfoss Climate Solutions

Share of sales: 34%

Energy-efficient heating and cooling solutions for industrial applications, buildings, infrastructure, data centers and the cold chain.

Danfoss Power Electronics and Drives

Share of sales: 22%

Power semiconductor modules, variable speed drives, and power conversion solutions engineered to enable electrification and enhance energy efficiency and productivity across industries.

Worldwide sales

Americas

36%

Europe

40%

Asia Pacific

24%

Global sales

EUR 9.4b

Employees worldwide

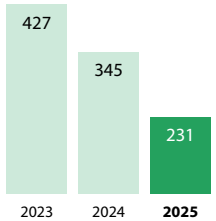
39,353

2025 Highlights

With our operating model in place and the launch of our new LEAP 2030 strategy, we improved our operational performance and strengthened our resilience in 2025.

Total scope 1 and 2 GHG emissions

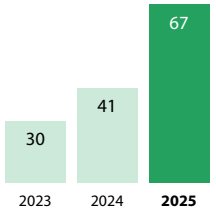
$ktCO_2e$



We reduced our own emissions (scope 1 and 2) by 33% and by 51% since 2019.

Share of renewable electricity

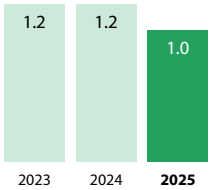
Target 2035: 100% renewable electricity



Our energy consumption reduced by 2% at an organic sales growth of 3%. **Share of green electricity now increased to 67%.**

Lost Time Injury Frequency (LTIF)

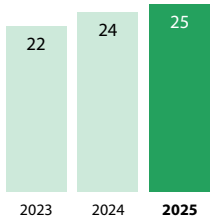
Number of incidents per million hours worked



The number of incidents per million hours worked reduced by 0.2 and is now at an all-time low; reduced by 41% over the last five years.

Women in leadership positions

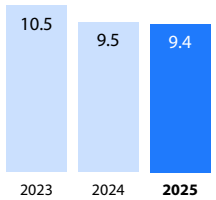
%



Our share of women leaders increased by 1%-point and up 5%-points over the last 5 years.

Sales

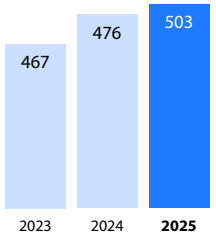
EURb



We saw **positive organic growth of 3%** despite volatility in the global markets. Organic sales growth in the first half was -3% increasing to 9% in the second half.

Innovation

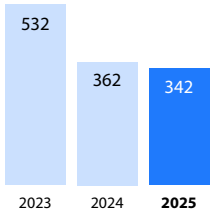
EURm



Our investments in competitive and innovative solutions **increased to 5.3% of sales.**

Investments excl. M&A

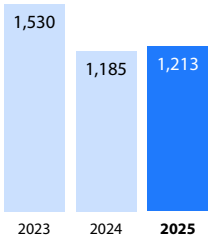
EURm



We continued to regionalize and move closer to our customers by **investing 3.6% of sales in our production capacity.**

Operational EBITA

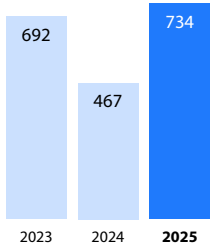
EURm



We delivered **a strong level of operational profitability at 12.9% of sales,** up 0.4%-point to last year.

Cash flow

EURm



We delivered a record-high cash flow, **up 57% compared to last year.**

2025 highlights exclude discontinued operations, comparables are restated where relevant. Cash flow consists of both continued and discontinued operations.

Financial highlights

	EURm 2021	EURm 2022	EURm 2023	EURm 2024	**EURm 2025**
Profit and loss account					
Net sales	7,539	10,256	10,492	9,496	9,430
EBITDA before OOI/E	1,232	1,618	1,854	1,539	1,648
EBITDA	1,272	1,576	1,834	1,462	1,644
Operational EBITA	1,002	1,286	1,530	1,185	1,213
EBITA	969	1,224	1,418	997	1,207
EBIT	877	1,043	1,329	884	1,040
Financial items, net	-58	-93	-173	-158	-131
Profit before tax and discontinued operations	819	949	1,156	726	909
Profit from continued operations			898	523	686
Loss from discontinued operations			-79	-153	-240
Net profit[1]	631	683	819	370	446
Financial ratios					
Local currency growth (%)	31	31	7	-10	2
EBITDA before OOI/E margin (%)	16.3	15.8	17.7	16.2	17.5
EBITDA margin (%)	16.9	15.4	17.5	15.4	17.4
Operational EBITA margin (%)	13.3	12.5	14.6	12.5	12.9
EBITA margin (%)	12.8	11.9	13.5	10.5	12.8
EBIT margin (%)	11.6	10.2	12.7	9.3	11.0
Balance sheet					
Total non-current assets[2]	6,693	7,803	7,975	8,076	7,418
Total assets	9,970	11,881	11,818	11,736	11,542
Total shareholders' equity	3,951	5,048	5,443	5,601	5,580
Net interest-bearing debt	2,677	3,168	2,871	2,753	2,191

	EURm 2021	EURm 2022	EURm 2023	EURm 2024	**EURm 2025**
Cash flow statement[1]					
Cash flow from operating activities	838	1,053	1,355	974	1,173
Cash flow from investing activities	-2,794	-931	-724	-389	-502
Hereof:					
Acquisition of intangible fixed assets	-43	-45	-44	-39	-22
Acquisition of property, plant, and equipment	-339	-504	-558	-418	-408
Proceeds from sale of property, plant, and equipment	14	18	6	23	65
Acquisition of subsidiaries and activities	-2,664	-441	-120	-11	-140
Proceeds from disposal of subsidiaries and activities	241	12	-11	54	2
Cash flow from financing activities	1,596	-26	-590	-613	-317
Financial key figures[1]					
Free operating cash flow	664	794	1,141	858	1,036
Free operating cash flow after financial items and tax	401	465	692	467	734
Free cash flow	-2,020	40	561	509	594
Financial ratios					
Return on invested capital ROIC (%)[1]	16.7	14.1	15.4	9.1	10.1
Return on invested capital ROIC (%) for continued operations			16.7	11.0	13.3
Return on equity (%)[1]	16.6	14.8	15.3	6.0	9.2
Equity ratio (%)	39.6	42.5	46.1	47.7	48.3
Leverage ratio (%)	67.8	62.8	52.8	49.2	39.3
Net interest-bearing debt to EBITDA ratio	2.1	2.0	1.6	1.9	1.3
Dividend ratio (%) (proposed)	30	30	30	30	40
Dividend per 100 DKK share (proposed)	19	21	25	11	18

Key figures and financial ratios are calculated as defined in Note 28 General accounting policies.

The years 2023, 2024, and 2025 are impacted by the classification of the Financial Statements into continued operations and discontinued operations. As a general rule, the figures for these years are stated based on continued operations unless stated otherwise (see notes 1 and 2).

[1] These amounts include both continued and discontinued operations for 2023, 2024, and 2025.

[2] Total non-current assets for 2025 reflect that there are reclassified assets to held for sale (now part of current assets).

2026 Outlook

Strengthening resilience through disciplined execution and targeted investments to support long-term value creation.

As a technology leader in the green transition, Danfoss has significant potential to drive competitive decarbonization together with our customers. With continued market volatility and low visibility, we will focus on disciplined execution, margin improvement, and cash flow. Continued investments in innovation, a strong local footprint, and select high-value growth opportunities will strengthen our competitiveness.

Credit ratings

Danfoss' credit rating assigned by S&P Global was "BBB with a stable outlook." In 2025, Moody's Ratings assigned Danfoss a rating of "Baa1 with a stable outlook." This first-time rating by Moody's Ratings reflects Danfoss' strong track record of a stable and high profitability level, underpinned by a conservative financial policy and very diversified revenue exposure on a geographic, end market, and customer level. It is the policy of the Group to have a BBB/Baa credit rating, and the Group aims for financial metrics that are commensurate with such ratings over the cycle.

2026 expectations

Danfoss has a continued ambition to expand or maintain our market share. Sales are expected to be in the range of EUR 9.1-10.6b for the full year. The operational EBITA margin is expected to be in the range of 12.8-14.3%, following our continued investments in new products and solutions. The expected growth and profitability performance are dependent on factors which are beyond Danfoss' control. These factors include geopolitical and economic conditions, tariffs, market and commodity price developments, regulatory changes, currency and interest rate fluctuations, and uncertainties related to acquisitions or divestments.

We remain committed to decarbonizing our global operations by 2030 and will continue to invest in sustainability, improve our climate footprint, and deliver on our sustainability ambition.

Forward-looking statements

This Annual Report includes forward-looking statements on various matters, e.g., expected earnings, future expansion of market share, and future profitable growth. Such statements are subject to risks and uncertainties because various factors, many of which are beyond Danfoss' control, may cause actual developments and results to differ materially from the expectations set out in the Annual Report. Such factors include, but are not limited to, the geopolitical environment, general economic and business conditions, tariffs, changes in commodity prices impacting the demand for Danfoss' solutions and services, competition in the industrial sectors in which the business segments are operating, fluctuations in foreign exchange rates, interest rates or our own raw material prices, changes in climate policy, legislation, regulation or standards, and uncertainty in connection with acquisitions or potential acquisitions and divestments. The sustainability statement includes forward-looking statements based on disclosed assumptions about events that may occur in the future and possible future actions by the Group. Actual outcomes are likely to be different since anticipated events frequently do not occur as expected.
Unless required by law, Danfoss has no duty and undertakes no obligation to update or revise any forward-looking statements after the publication of this Annual Report.

To strengthen our fluid conveyance portfolio and become a stronger partner for our customers, we acquired Hydro Holding S.p.A., a manufacturer of hose fittings. Hydro Holding S.p.A. expands our footprint in Europe and solidifies our leading global position in hoses and fittings for applications in mobile and industrial hydraulics as well as data centers.

Our businesses

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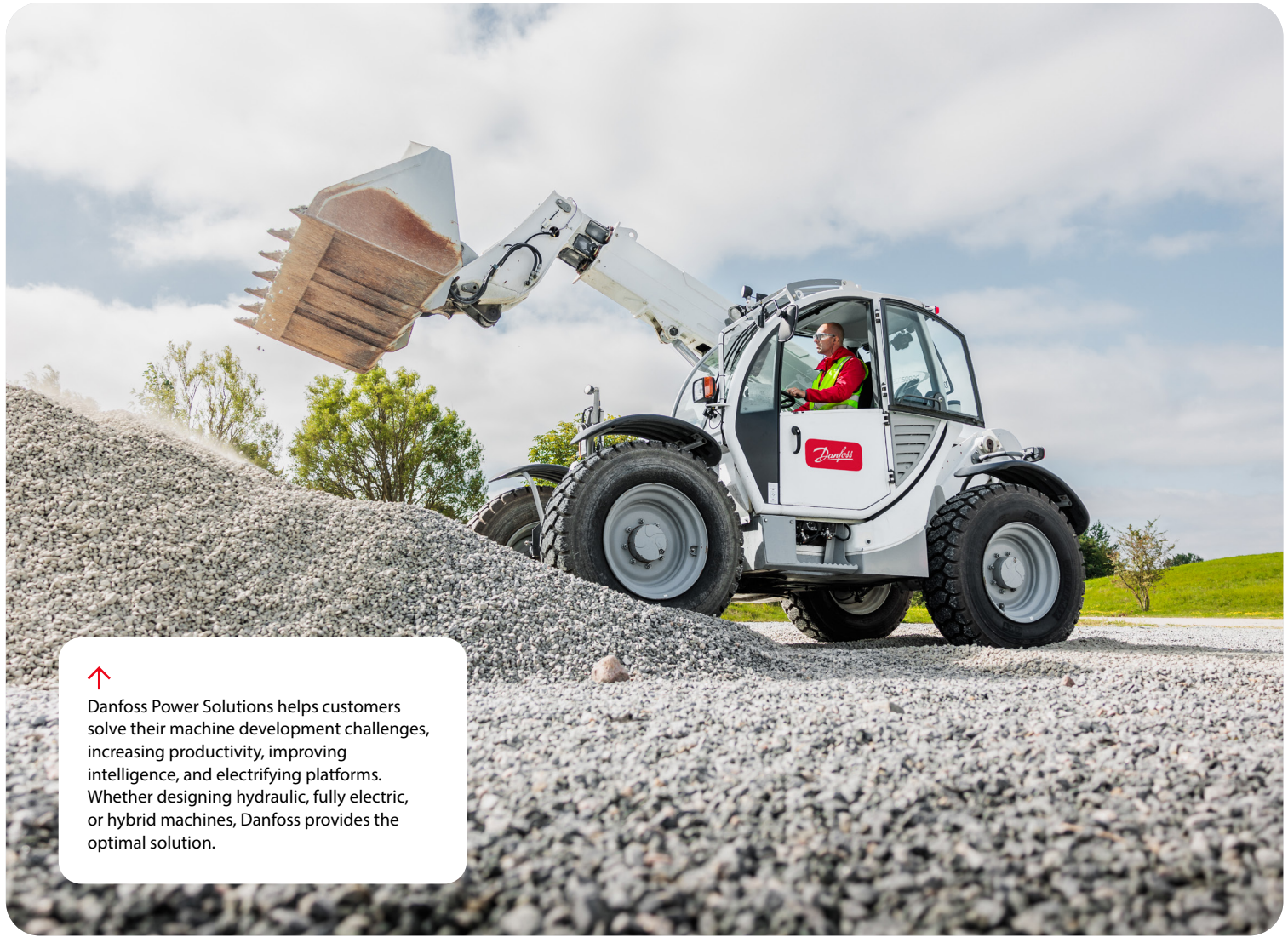


Danfoss Power Solutions helps customers solve their machine development challenges, increasing productivity, improving intelligence, and electrifying platforms. Whether designing hydraulic, fully electric, or hybrid machines, Danfoss provides the optimal solution.

We continue to invest in building leading positions in our three segments

Danfoss
Power Solutions

Full solutions across mobile and industrial hydraulics, fluid conveyance and data center applications, electrification, and software

Danfoss
Climate Solutions

Energy-efficient heating and cooling solutions for industrial applications, buildings, infrastructure, data centers and the cold chain

Danfoss
Electronics and Drives

Power semiconductor modules, variable speed drives, and power conversion solutions engineered to enable electrification and enhance energy efficiency and productivity across industries

Danfoss
Power Solutions

Sales

EUR
4.1b

Earnings
(Operational EBITA[1])

EUR
480m

Application
Development Centers

3

Operational EBITA margin

11.7%

Number of employees

16,606

Factories

54

"Danfoss Power Solutions continues to strengthen its market position and customer partnerships. With resilience, strategic investment, and innovation, we are shaping the future of the hydraulics and electrification industries.

Daniel Winter
President, Danfoss Power Solutions

[1] EBITA before integration costs and OOI/E.

Case story

Building trust, driving results: The power of partnership

The challenge

A global leader in the mobile machinery industry set a highly ambitious objective to upgrade an existing skid steer loader platform with major changes within 12 months — a fraction of the typical two- to four-year development cycle. Success required a trusted systems partner capable of delivering a fully validated solution, not just components.

The solution

Building trust through transparency and strong relationships was at the core of our approach. Faced with an accelerated 12-month launch target, we partnered closely with the customer, working directly with their engineering, procurement, and leadership teams.

Our parallel engineering model enabled seamless collaboration, supported by test rigs, skilled application engineers, our highly-configurable product portfolio, and hands-on engagement at our Application Development Center (ADC).

This collaboration enabled the OEM to seamlessly integrate Danfoss components into the vehicle design, replacing critical hydrostatics and gear pumps previously supplied by competitors.

Joint work sessions supported rapid prototyping and real-time validation, aligning system requirements with right-sized, highly configurable products to bring the machine to market faster.

Bringing the engineering teams with deep application knowledge together throughout the development process; applying strong project management and an extensive, highly-customizable product portfolio; and utilizing our dedicated ADC, has proven to be a winning combination. This approach showcases how collaborative partnerships with our customers deliver significant value through faster, more efficient product launches.

↑ Danfoss Power Solutions helped a leading manufacturer upgrade its skid steer loader platform in just 12 months — a fraction of the typical two-to-four-year timeline. The ambitious project required a partner capable of providing more than just components.

Danfoss Climate Solutions

Sales

EUR 3.2b

Earnings (Operational EBITA[1])

EUR 522m

Application Development Centers

4

Operational EBITA margin

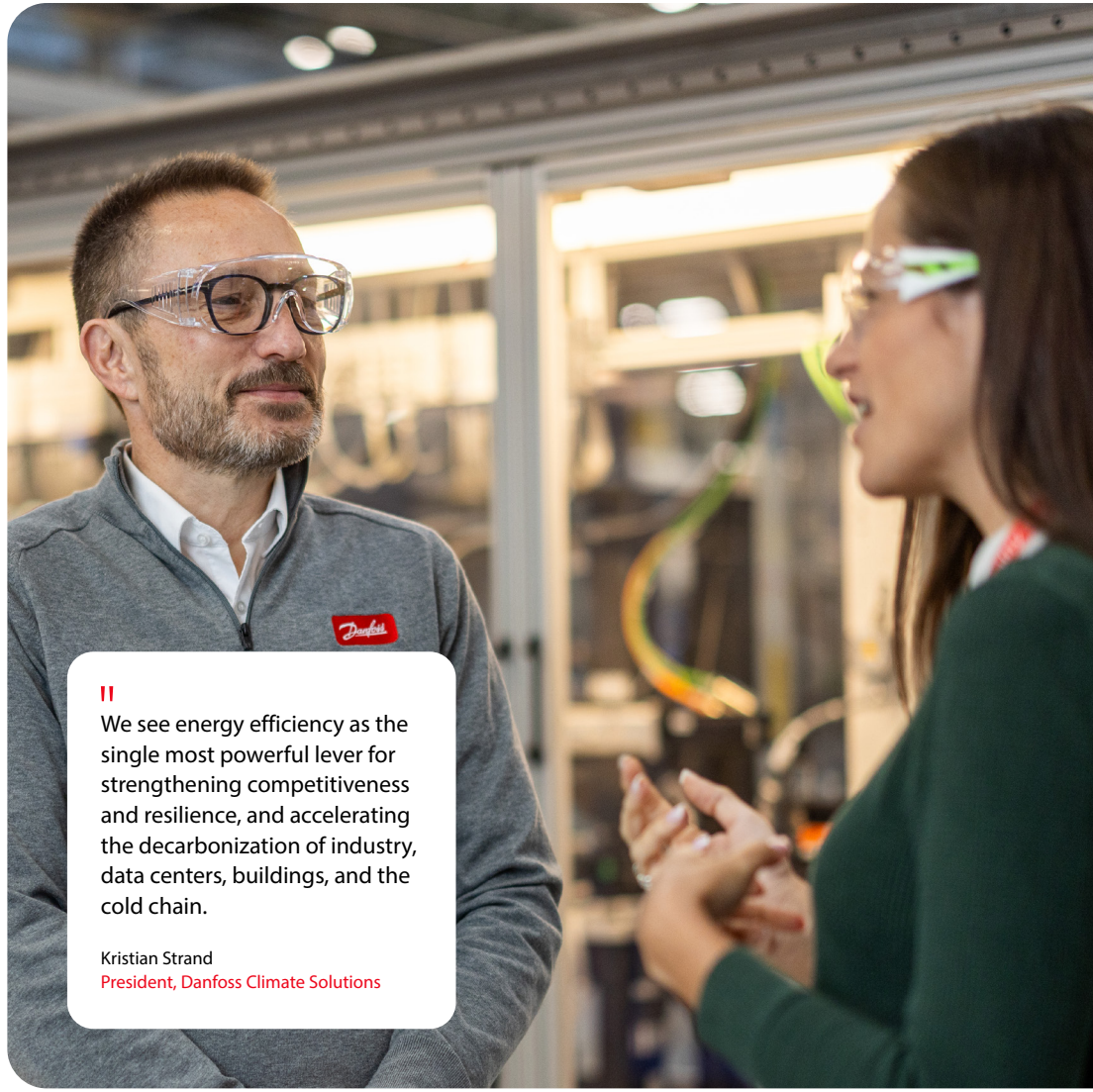
16.2%

Number of employees

11,408

Factories

32



"We see energy efficiency as the single most powerful lever for strengthening competitiveness and resilience, and accelerating the decarbonization of industry, data centers, buildings, and the cold chain.

Kristian Strand
President, Danfoss Climate Solutions

[1] EBITA before integration costs and OOI/E.

Case story

Advancing net-zero campus operations in Lancaster, UK

The challenge

Universities and other higher education institutions are uniquely positioned to lead the transition toward carbon neutrality. University campuses have significant energy demands for heating purposes, making the implementation of low carbon, energy-efficient strategies essential.

The solution

Danfoss and the renewable energy company, Vital Energi entered into an end-to-end partnership, enabling Lancaster University to reach their ambitious 2030 decarbonization goals.

A significant step to reaching these goals was to replace the existing gas boilers with highly efficient air-to-water heat pumps.

The industrial heat pumps are equipped with advanced Danfoss BOCK® CO_2 semi-hermetic reciprocating compressors. They provide exceptional efficiency for cooling and heating applications, making them an excellent fit for large campus universities due to their energy demand.

As a trusted partner to Vital Energi, Danfoss is delivering a complete range of solutions and application expertise for all phases of the entire decarbonization project. This also includes hydronic valves, inverter drives, district network and heating stations, high-pressure valves, and industrial ejectors. For the system design, Danfoss supported Vital Energi with advanced system simulation support for optimized system performance.

The existing campus district heating network will be extended to increase its coverage across campus buildings from approximately 65% to 95% when completed.

Lancaster University is leading the way with large-scale thermal storage and low-carbon heating. The university won a 2030 climate action award, highlighting its bold commitment to achieving carbon net-zero from energy emissions by 2030.

The transformation to low-carbon heating in industries and buildings is enabled by strong partnerships. Together with our partner Vital Energi, we installed air-to-water heat pumps, replacing existing gas boilers.

Danfoss
Power Electronics and Drives

Sales

EUR
2.1b

Earnings
(Operational EBITA[1])

EUR
266m

Application
Development Centers

6

Operational EBITA margin

12.8%

Number of employees

7,224

Factories

16

"Spanning from intelligent drives and converters to cutting-edge power modules, our technologies help customers boost productivity, optimize energy use, and achieve their decarbonization goals.

Mika Kulju
President, Danfoss Power Electronics and Drives

[1] EBITA before integration costs and OOI/E.

Case story

Local savings and a global impact: The power of avoided emissions

The challenge

The potential and impact of our variable speed drives often goes unseen. Variable speed drives can reduce energy consumption of electric motors by up to 40%. Our customers know they are saving energy and avoiding CO_2e emissions, but how much?

The solution

Electric motors account for more than 50% of the world's electricity consumption, and about 50% of all electric motors globally can benefit from variable speed drives.

A 2025 International Energy Agency report shows the high energy-saving potential of adopting drives in European industry. The potential is estimated to be more than 121 TWh of electricity each year — around 15% of the EU's total industrial demand.

Appearing modest at first glance, the impact of upgrading to the latest generation of highly efficient drives is significant, too. In Hirtshals, Denmark, Danish Salmon presented their ambition of lowering their energy consumption with efficient motor control.

Operating a land-based salmon farm, Danish Salmon uses recirculating aquaculture technology, recycling 99% of the water. To lower energy consumption, 23 of our highly efficient drives were installed across multiple applications, including drum filters, pumps, and aeration blowers.

Quantifying avoided emissions was essential for Danish Salmon. To claim energy efficiency benefits with reliable calculations and full transparency, we hired a third-party verifier. The analysis determined that Danfoss' drives deliver 7.2% lower emissions relative to a comparable drive. This is driven by a higher level of energy efficiency and lower energy consumption, decarbonizing an additional almost 2,000 kg of CO_2e over the lifecycle.

Every year, our Danfoss Drives business delivers more than two million variable speed drives to customers across the globe. Over their lifetime, we expect these drives will save approximately 19 million tons of CO_2e. Together with our customers and partners, we're engineering a better future — one drive at a time.

↑
Danish Salmon sets a high bar for sustainability. Third-party verified data confirms that Danfoss variable speed drives achieve a 7.2% emissions reduction relative to a comparable drive, thanks to improved energy efficiency.

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↑ Together with our partners, Danfoss is contributing to more resilient energy systems for the energy transition through solutions to produce hydrogen using electricity from renewable energy sources. The Danfoss iC7-Hybrid offers a high-quality and scalable power conversion solution. Equipped with high conversion efficiency of 98%, iC7-Hybrid reduces both energy consumption and costs during the conversion of renewable energy sources into hydrogen.

Financial review

Danfoss delivered robust results despite volatile market conditions. Throughout 2025, we continuously improved our run rates, with the full year ending with an organic growth of 3%, a strong operational EBITA margin of 12.9%, and a record-high cash flow of EUR 734m.

Business update

With the launch of our new LEAP 2030 strategy, we strengthen customer partnerships and unlock significant opportunities to increase competitiveness and maintain our long-term resilience. We continue to see strong demand for our technologies and solutions that drive energy efficiency, machine productivity, and electrification, while also supporting the green transition through lower emissions.

Throughout the year our markets recovered. Order intake and sales continuously improved with strong organic growth of 9% in the second half. Across our three business segments, we saw different dynamics across the various markets in which we operate. With 2025 sales of EUR 9.4b and an operational EBITA margin of 12.9% we performed within our guided range.[1]

In 2025, we concluded that the Automotive Electrification business is not core for Danfoss moving forward and the business has been re-classified as discontinued operations and assets and liabilities held for sale.

Sales

Group sales reached EUR 9,430m (2024: 9,496m) with organic growth of 3%. Our sales were negatively impacted by a weakening US dollar rate, with an impact of -3%.

Danfoss Power Solutions delivered an organic growth of 3%, negatively influenced by the continued downturn within agriculture but positively impacted by the growth in data centers. Danfoss Climate Solutions reached an organic growth of 9%, primarily driven by data centers and industrial decarbonization. Danfoss Power Electronics and Drives saw negative organic growth of -6%, positively impacted by our Drives business but negatively impacted by a softer market for power semiconductors.

Our performance in Asia improved throughout the year, driven by China which saw 13% growth. The signs of recovery in Europe remained less pronounced, ending the year with -2% growth. In North America, Danfoss Climate Solutions delivered 26% organic growth, driven by strong data center demand. Danfoss Power Solutions also experienced strong demand from data centers in North America, but this was offset by the negative impact from the downturn in the agricultural market, resulting in a negative sales growth of 2% in Danfoss Power Solutions.

Earnings

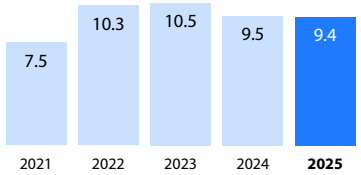
Following the implementation of our operating model, in 2025, we maintained our focus on disciplined execution as well as operational excellence and delivered an operational EBITA margin of 12.9% (2024: 12.5%). Profit before tax and discontinued operations reached EUR 909m (2024: 726m). The effective tax rate for 2025 was 24.5% (2024: 28.0%). Profit from continued operations reached EUR 686m (2024: 523m). Net profit reached EUR 446m (2024: 370m), impacted by loss on discontinued operations.

Innovation

Danfoss continued to invest in delivering competitive, innovative, and sustainable solutions. We maintained a high level of investments, and increased our

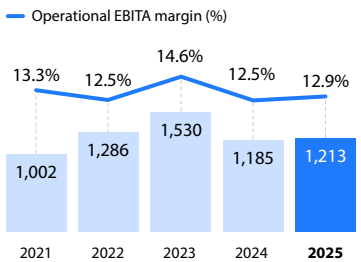
Total net sales[2]

EURb



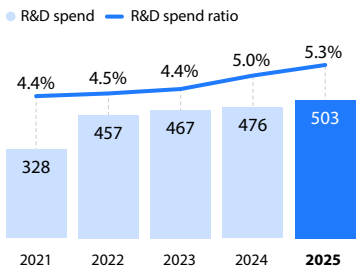
Operational EBITA[2]

EURm



Innovation spend[2]

EURm



[1] Sales and operational EBITA margin for both continued and discontinued operations are within our guidance of EUR 9.5b–11b and 10.8%-12.3% respectively.

[2] Excludes discontinued operations from 2023-2025.

innovation spend to EUR 503m (2024: 476m), corresponding to 5.3% of sales (2024: 5.0%).

Assets and liabilities

Total assets were at EUR 11,542m (2024: 11,736m). Equity was at the same level as last year and was EUR 5,580m (2024: 5,601m), impacted by a negative currency translation. The equity ratio, calculated as equity relative to total assets, was 48.3% (2024: 47.7%). The return on equity was 9.2% (2024: 6.0%). Net interest-bearing debt amounted to EUR 2,191m (2024: 2,753m), leading to a net interest-bearing debt to EBITDA ratio of 1.3 (2024: 1.9). At year-end, the Group had a liquidity reserve of EUR 1.7b (2024: 1.4b).

Credit ratings

Danfoss' credit rating assigned by S&P Global was "BBB with a stable outlook." In 2025, Moody's Ratings assigned Danfoss a rating of "Baa1 with a stable outlook." It is the policy of the Group to have a BBB/Baa credit rating, and the Group aims for financial metrics that are commensurate with such ratings over the cycle.

Cash flow

Securing a continued robust cash performance remains a priority for Danfoss in order to finance our strategic growth initiatives, repay interest-bearing debt and distribute dividends. The free operating cash flow after financial items and tax (before M&A) amounted to a record-high EUR 734m (2024: 467m). Cash flow from M&A activities amounted to EUR -138m (2024: +43m), mainly impacted by the acquisition of Hydro Holding S.p.A.

Employees

In 2025, Danfoss had 39,353 employees (2024: 39,360).

Acquisition of Hydro Holding S.p.A.

In December 2025, Danfoss completed the acquisition of Hydro Holding S.p.A., a leading global manufacturer of hoses and fittings. This acquisition strengthens our leading position in fluid conveyance globally, enabling us to be a stronger partner for our customers. Hydro Holding S.p.A will be integrated into our Fluid Conveyance business in Danfoss Power Solutions.

Discontinued operations

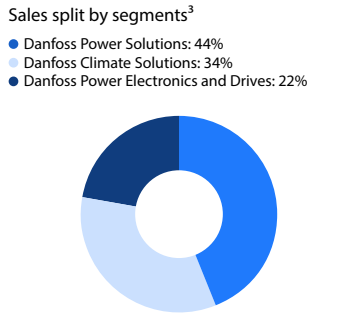
Across our businesses, we work to continuously ensure full alignment with our strategic ambitions, in line with our new LEAP 2030 strategy. As part of our active portfolio management, we have taken steps to find the best future owner of the Automotive Electrification business. As a consequence, this business is reclassified as discontinued operations in our financial statements.

Therefore, the income statement reflects that figures are reported net of discontinued operations down to profit from continued operations. Profit from discontinued operations is reported as a one-line consolidation. Comparison numbers are adjusted for 2023-2025 correspondingly.

Events after the balance sheet date

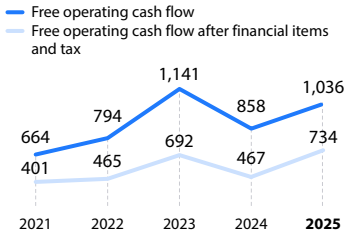
We are not aware of any events after the balance sheet date of December 31, 2025, that could be expected to have a material impact on the Group's financial position.

Sales split by segments[3]

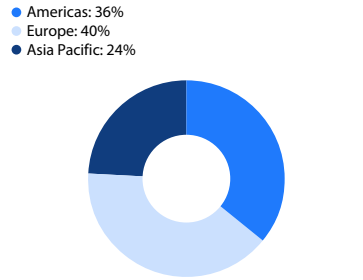


Cash flow

EURm

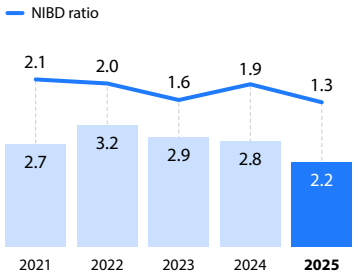


Sales split by regions[3]



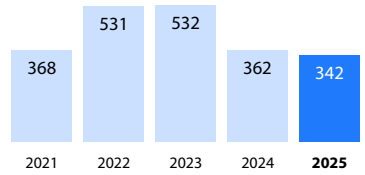
Net interest-bearing debt (NIBD)

EURb



Net investments in fixed assets excluding M&A[3]

EURm



[3] Excludes discontinued operations from 2023-2025.

Danfoss
Power Solutions

Sales

EUR 4,090m

Operational EBITA margin

11.7%

Danfoss Power Solutions was impacted by the cyclical downturn in the mobile hydraulics market, primarily driven by lower demand in agriculture. However, during the year, the segment saw positive growth due to the rising demand for data center solutions. Organic sales growth reached 3%, equal to EUR 4,090m (2024: 4,095m). In the Asian market, we saw strong double-digit growth throughout the year and also some recovery in the American market. Through disciplined execution, profitability run rates have improved during the year and surpassed 2024. The operational EBITA margin reached 11.7% (2024: 10.5%).[1]

In December, the acquisition of Hydro Holding S.p.A. was closed and will be integrated into our Fluid Conveyance business.

Danfoss
Climate Solutions

Sales

EUR 3,232m

Operational EBITA margin

16.2%

Danfoss Climate Solutions delivered a strong and resilient performance in 2025. This was driven by the strong momentum in data centers and a continued high demand for electrification and energy-efficient cooling solutions for industrial applications across the regions. Growth was seen in all regions, confirming the viability of the segment's products and solutions. The segment continued the integration of BOCK® Compressors and has successfully grown this part of the business. Organic sales growth reached 9%, equal to EUR 3,232m (2024: 3,044m). The segment has continued to invest in innovation to further strengthen future growth. The operational EBITA margin was 16.2% (2024: 15.0%).[1]

Danfoss
Power Electronics and Drives

Sales

EUR 2,051m

Operational EBITA margin

12.8%

The Danfoss Power Electronics and Drives segment saw organic growth of -6%, equal to EUR 2,051m (2024: 2,240m). Particularly our Drives business saw positive sales growth and robust performance, whereas the demand for power semiconductors has been soft due to a challenged European market. The overall results were driven by improved performance in the low-voltage Drives business, particularly in data centers, HVAC, marine, and water and wastewater applications. The operational EBITA margin was 12.8% (2024: 13.8%).[1]

As part of our active portfolio management, we have taken steps to find the best future owner of the Automotive Electrification business. As a consequence, this business is reclassified as discontinued operations in our financial statements. Segment figures for 2025 and 2024 thus exclude the Automotive Electrification business.

[1] Due to the implementation of our new operating model as of January 2025, the operational EBITA margin for 2024 for the segments have been changed for comparability purposes.

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Income statement

January 1 to December 31

EURm	Note	2024	**2025**
Net sales	2	9,496	9,430
Cost of sales	3	-6,373	-6,200
Gross profit		**3,123**	**3,230**
Research and development costs	3	-476	-503
Selling and distribution costs	3	-1,136	-1,119
Administrative expenses	3	-533	-525
Operating profit excluding other operating income and expenses		**978**	**1,083**
Other operating income and expenses	3	-78	-4
Share of profit from associates and joint ventures after tax	8	-16	-39
Operating profit (EBIT)		**884**	**1,040**
Financial income	15	4	9
Financial expenses	15	-162	-140
Profit before tax and discontinued operations		**726**	**909**
Tax on profit	20	-203	-223
Profit from continued operations		**523**	**686**
Loss from discontinued operations	27	-153	-240
Net profit		**370**	**446**
Attributable to:			
Shareholders of Danfoss A/S			
Continued operations		484	643
Discontinued operations		-94	-147
		390	**496**
Minority interests			
Continued operations		39	43
Discontinued operations		-59	-93
		-20	**-50**
		370	**446**

Statement of comprehensive income

January 1 to December 31

EURm	Note	2024	**2025**
Net profit		**370**	**446**
Other comprehensive income			
Actuarial gain/loss (-) on pension and healthcare plans	19	13	15
Tax on actuarial gain/loss on pension and healthcare plans	20	-2	-4
Items that cannot be reclassified to income statement		**11**	**11**
Foreign exchange adjustments on translation of foreign currency into EUR for continued operations		92	-323
Adjustment for hyperinflation on equity		30	23
Fair value adjustment of hedging instruments:			
Hedging of interest rates (Interest rates and cross currency swaps)		-33	-42
Hedging of future cash flows		-27	60
Hedging transferred to inventory		-1	-24
Tax on hedging instruments		14	4
Items that will be reclassified to income statement		**75**	**-302**
Other comprehensive income after tax		**86**	**-291**
Total comprehensive income		**456**	**155**
Attributable to:			
Shareholders of Danfoss A/S			
Continued operations		568	364
Discontinued operations		-94	-147
		474	**217**
Minority interests			
Continued operations		41	31
Discontinued operations		-59	-93
		-18	**-62**
		456	**155**

Statement of financial position

At December 31

EURm	Note	2024	**2025**
Non-current assets			
Intangible assets	9	4,696	4,361
Property, plant, and equipment	10	2,878	2,592
Investments in associates and joint ventures	8	318	277
Pension benefit plan assets	19	13	12
Non-current receivables		16	14
Deferred tax assets	21	155	162
Total non-current assets		**8,076**	**7,418**
Current assets			
Inventories	4	1,521	1,426
Trade receivables	5	1,432	1,486
Receivable corporation tax	22	69	66
Derivatives — other hedging	17	72	40
Other receivables		227	200
Receivables		1,800	1,792
Cash and cash equivalents	17	339	684
Assets held for sale	27		222
Total current assets		**3,660**	**4,124**
Total assets		**11,736**	**11,542**

EURm	Note	2024	**2025**
Shareholders' equity			
Equity, shareholders in Danfoss A/S	16	5,366	5,471
Minority interests	16	235	109
Total shareholders' equity		**5,601**	**5,580**
Liabilities			
Provisions	14	114	79
Deferred tax liabilities	21	340	347
Pension and healthcare benefit plan obligations	19	137	119
Borrowings	18	2,693	2,000
Derivatives — hedge of borrowings	17	304	65
Other non-current debt		156	130
Non-current liabilities		**3,744**	**2,740**
Provisions	14	83	87
Borrowings	18	109	801
Derivatives - hedge of borrowings	17		21
Trade payables		1,322	1,386
Debt to associates and joint ventures		4	5
Corporation tax	22	75	103
Derivatives — other hedging	17	8	
Other debt	6	790	714
Liabilities concerning assets held for sale	27		105
Current liabilities		**2,391**	**3,222**
Total liabilities		**6,135**	**5,962**
Total liabilities and shareholders' equity		**11,736**	**11,542**

Statement of cash flows

January 1 to December 31

EURm	Note	2024	**2025**
Profit before tax from continued operations		726	909
Profit before tax from discontinued operations		-134	-230
Profit before tax from continued and discontinued operations		592	679
Adjustments for non-cash transactions	23	733	886
Change in working capital	7	50	-80
Interest received		4	7
Interest paid		-118	-111
Dividends received		4	
Income tax paid	22	-291	-208
Cash flow from operating activities		**974**	**1,173**
Acquisition of intangible assets		-39	-22
Acquisition of property, plant, and equipment		-418	-408
Proceeds from sale of property, plant, and equipment		23	65
Acquisition of subsidiaries and activities	12	-11	-140
Proceeds from disposal of subsidiaries and activities	12	54	2
Change in financial receivables	13	1	
Other investments, sale and acquisitions	13	1	1
Cash flow from investing activities		**-389**	**-502**
Cash repayment of interest-bearing debt	18	-339	-153
Cash proceeds from interest-bearing debt	18	26	12
Purchase of treasury shares		-4	-9
Sale of treasury shares		3	4
Dividends to shareholders in Danfoss A/S		-237	-107
Dividends to minority interests		-62	-64
Cash flow from financing activities		**-613**	**-317**
Net change in cash and cash equivalents		**-28**	**354**
Cash and cash equivalents as at January 1		369	339
Foreign exchange adjustment of cash and cash equivalents		-2	-9
Cash and cash equivalents as at December 31		**339**	**684**

Refer to Note 27 Discontinued operations and assets and liabilities held for sale for further information.

Accounting policy

Statement of cash flows
The statement shows the cash flows from operating, investing and financing activities for the year and cash equivalents at the beginning and the end of the year. The cash-flow effect of acquisitions and disposals of companies is shown separately under cash flows from investing activities. Cash flows relating to acquired companies are recognized in the statement of cash flows at the acquisition date, and cash flows relating to divested companies are included until the disposal date. The statement of cash flows presents cash flows combined from continued and discontinued operations. The cash flow impact on activities from discontinued operations is disclosed in Note 27.

Cash flows from operating activities
Cash flows from operating activities are calculated according to the indirect method on the basis of profit before tax/profit before tax from continuing operations and adjusted for non-cash operating items, changes in working capital, paid financial items, received dividend, and paid corporation taxes.

Cash flows from investing activities
Cash flows from investing activities comprise payments in connection with the acquisition and disposal of companies and activities, intangible assets and property, plant, and equipment, as well as securities classified as investing activities. Acquisitions of assets under leases capitalized are treated as non-cash transactions.

Cash flows from financing activities
Cash flows from financing activities comprise changes in the size or composition of the share capital, the raising and repayment of long-term and short-term bank debt, lease payment, acquisition of minority interests, acquisition and disposal of treasury shares, and payment of dividends to shareholders.

Cash and cash equivalents
Cash and cash equivalents comprise bank account deposits, cash balances, and highly liquid investments with short-term maturity and that are exposed to insignificant risk of change in value.

Statement of changes in equity

EURm	Share capital	Share premium	Hedging reserves	Currency translation	Reserve own shares	Other reserves	Reserves	Proposed dividends	Equity, shareholders in Danfoss A/S	Minority interest	Total equity
Balance as at January 1, 2024	**134**	**10**	91	-9	-309	4,967	**4,740**	**246**	**5,130**	**313**	**5,443**
Net profit						279	**279**	**111**	**390**	**-20**	**370**
Foreign exchange adjustments of foreign companies				90			**90**		**90**	**2**	**92**
Fair value adjustment of hedging instruments			-61				**-61**		**-61**		**-61**
Adjustment for hyperinflation on equity				30			**30**		**30**		**30**
Actuarial gain/loss (-) on pension and healthcare plans						13	**13**		**13**		**13**
Tax on other comprehensive income			14			-2	**12**		**12**		**12**
Total comprehensive income for the period			-47	120		290	**363**	**111**	**474**	**-18**	**456**
Dividends to shareholders						9	**9**	**-246**	**-237**	**-62**	**-299**
Purchase of treasury shares					-4		**-4**		**-4**		**-4**
Sale of treasury shares					3		**3**		**3**		**3**
Adjustment to minority interest										**2**	**2**
Total transactions with owners					-1	9	**8**	**-246**	**-238**	**-60**	**-298**
Balance as at December 31, 2024	**134**	**10**	44	111	-310	5,266	**5,111**	**111**	**5,366**	**235**	**5,601**
Net profit						317	**317**	**179**	**496**	**-50**	**446**
Foreign exchange adjustments of foreign companies				-312		1	**-311**		**-311**	**-12**	**-323**
Fair value adjustment of hedging instruments			-6				**-6**		**-6**		**-6**
Adjustment for hyperinflation on equity				23			**23**		**23**		**23**
Actuarial gain/loss (-) on pension and healthcare plans						15	**15**		**15**		**15**
Tax on other comprehensive income			4			-4					
Total comprehensive income for the period			-2	-289		329	**38**	**179**	**217**	**-62**	**155**
Dividends to shareholders						4	**4**	**-111**	**-107**	**-64**	**-171**
Purchase of treasury shares					-9		**-9**		**-9**		**-9**
Sale of treasury shares					4		**4**		**4**		**4**
Total transactions with owners					-5	4	**-1**	**-111**	**-112**	**-64**	**-176**
Balance as at December 31, 2025	**134**	**10**	42	-178	-315	5,599	**5,148**	**179**	**5,471**	**109**	**5,580**

Basis of reporting and critical accounting estimates

Note 1 Basis of preparation

Introduction

Danfoss A/S is a company domiciled in Denmark. The Annual Report for the period January 1 - December 31, 2025, comprises the consolidated financial statements of Danfoss A/S and its subsidiaries (the Group).

The Group is classified as a Class C (large) entity under the Danish Financial Statements Act. The Group has decided to prepare consolidated financial statements in accordance with IFRS as adopted by the EU and additional requirements of the Danish Financial Statements Act.

Basis of measurement

The Annual Report is presented in EUR, rounded to the nearest million unless otherwise indicated. The functional currency of the Parent Company is DKK.

The Annual Report has been prepared on the basis of the historical-cost convention except for the following assets and liabilities, which are measured at fair value: financial instruments measured at fair value, derivatives, contingent considerations from business combinations, and pension and healthcare obligations. Non-current assets and disposal groups held for sale are measured at the lower carrying amount before the reclassification and fair value less costs to sell. Refer also to Note 28 General accounting policies for a description of accounting for hyperinflation related to the Turkish and Argentinian subsidiaries.

Changes in accounting policies

Danfoss A/S has implemented the standards and interpretations that have taken effect for 2025. None of those standards and interpretations have a material effect on recognition and measurement in 2025, nor are they expected to have a material effect on Danfoss A/S in the future.

Critical accounting estimates and assessments

In preparing the consolidated financial statements, management makes various accounting estimates that affect the reported amounts and disclosures in the financial statements and notes to the statements. The estimates used are based on management assumptions, which are assessed to be reliable, but which are inherently subject to uncertainty. Accordingly, Danfoss is subject to risks and uncertainties, which may cause actual results to differ from these estimates.

Estimates which are significant for the preparation of the financial statements are listed below:

- Inventories (Note 4)
- Investments in associates and joint ventures (Note 8)
- Goodwill and measurement of intangible assets (Note 9 and Note 12)
- Assessment of depreciation, amortization and impairment of non-current assets (Note 9 and Note 10)
- Deferred tax assets (Note 21) and Uncertain tax positions (Note 22)
- Measurement of pension and healthcare obligations (Note 19)
- Discontinued operations and assets and liabilities held for sale (Note 27)

Additional information of estimates made are described in the relevant notes.

New financial reporting regulations

Danfoss A/S has implemented a number of amendments and improvements to IFRS for the financial year 2025.

The Group has assessed these changes and concluded they do not have a material impact on the Group in 2025 or previous years.

- Amendment to IAS 21 Foreign exchange rates: With regard to the effect of changes in foreign exchange rates when a currency lacks exchangeability.

A number of issued, but not yet effective, standards and interpretations have been published that have not been adopted early by Danfoss A/S in the preparation of the 2025 Annual Report.

The Group has assessed these standards and interpretations and conclude they are not expected to have a material impact or the Group's financial statements, except for IFRS 18:

- Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures, clarifies recognition and derecognition dates for some financial assets and liabilities and provides additional disclosure guidance.
- IFRS 18 Presentation and Disclosure in Financial Statements: Introduces new requirements that will help to achieve comparability of the financial performance of similar entities and provide more relevant information and transparency. Expected main changes are that operating profit will include foreign exchange gains/losses and loss on monetary items and not include profit from ass./jv, and interest expenses will now be part of financing activities in the cash flow, instead of operating activities.

Income statement

Note 2 Segment reporting

EURm					2024
Business segments	Danfoss Power Solutions	Danfoss Climate Solutions	Danfoss Power Electronics and Drives	Other areas	**Group**
Income statement					
Net sales	4,095	3,044	2,240	117	9,496
Expenses***)	3,573	2,507	1,871	115	8,066
Depreciation/amortization/impairment**)	158	106	82	87	433
EBITA	365	431	287	-86	997
Acquisition-related amortization	76	11	42		129
Share of profit from Ass./JV. after tax					-16
Operating profit (EBIT)					884
Financial Items					-158
Profit before tax and discontinued operations					726
Statement of financial position					
Total assets *)	4,857	2,574	3,078	1,227	11,736
Net investments, excluding M&A	151	134	75	2	362
Total liabilities *)	856	823	668	3,788	6,135
Other information					
Number of employees	16,101	10,837	7,175	5,247	39,360

EURm					**2025**
Business segments	Danfoss Power Solutions	Danfoss Climate Solutions	Danfoss Power Electronics and Drives	Other areas	**Group**
Income statement					
Net sales	4,090	3,232	2,051	57	9,430
Expenses***)	3,472	2,614	1,708	-8	7,786
Depreciation/amortization/impairment**)	160	112	70	95	437
EBITA	458	506	273	-30	1,207
Acquisition-related amortization	75	11	42		128
Share of profit from Ass./JV. after tax					-39
Operating profit (EBIT)					1,040
Financial Items					-131
Profit before tax and discontinued operations					909
Statement of financial position					
Total assets *)	4,806	2,681	2,743	1,312	11,542
Net investments, excluding M&A	171	136	47	-12	342
Total liabilities *)	896	826	521	3,719	5,962
Other information					
Number of employees	16,606	11,408	7,224	4,115	39,353

*) Corporate and shared functions' assets and liabilities, cash and cash equivalents, interest-bearing debt and deferred tax liabilities/assets have been included in the column 'Other areas'.

**) Exclusive acquisition-related amortization

Figures have been adjusted to reflect our new operating model, discontinued operations and other minor changes. Comparison figures have been adjusted accordingly.

***) 'Other areas' includes reclassification of lease expenses of EUR -84m (2024: -79m) mainly to the line item 'Depreciation/amortization/impairment'

Note 2 Segment reporting — continued

EURm				2024
Geographical markets	Americas	Europe	Asia Pacific	**Group**
Net sales	3,491	3,852	2,153	9,496
Total non-current assets (excluding deferred tax assets)	2,941	4,328	652	7,921

EURm				**2025**
Geographical markets	Americas	Europe	Asia Pacific	**Group**
Net sales	3,454	3,731	2,245	9,430
Total non-current assets (excluding deferred tax assets)	2,556	4,049	651	7,256

Sales in Denmark amount to EUR 237m (2024: 263m) and non-current assets amount to EUR 955m (2024: 1,015m). Sales in Americas mainly relate to the US, which represents EUR 2,754m (2024: 2,789m), and non-current assets amount to EUR 2,376m (2024: 2,770m). China is part of the Asia Pacific, and sales amount to EUR 1,218m (2024: 1,156m) and non-current assets to EUR 394m (2024: 392m). All other individual countries are below 10% of net sales and non-current assets. All individual customers represent less than 10% of our net sales.

EURm	2024	**2025**
Specification of other areas — EBITA		
Corporate and shared functions and projects, not allocated *)	-101	-82
Other	15	52
EBITA	-86	-30
Specification of other areas — Assets		
Cash, current & non-current tax receivables	563	912
Other receivables	78	40
Corporate and shared functions, not allocated tangible, and intangible fixed assets *)	564	94
Assets held for sale		222
Other	22	44
Total assets	1,227	1,312
Specification of other areas — Liabilities		
Interest-bearing debt, current & non-current tax liabilities	3,522	3,337
Other debt	23	1
Pension and healthcare plans	137	119
Corporate and shared functions and projects, not allocated *)	85	141
Liabilities concerning assets held for sale		105
Other	21	16
Total liabilities	3,788	3,719

*) Corporate and shared functions and projects, not allocated are primarily corporate projects, administrative expenses, and assets and liabilities.

Note 2 Segment reporting — continued

Accounting policy

Segment information
The Group's registered members of Executive Management examine the Group's performance both from a product and a geographic perspective and have identified 3 reportable segments: Danfoss Power Electronics and Drives, Danfoss Climate Solutions, and Danfoss Power Solutions.

The segment information applies to the internal management reporting and is prepared according to the Group's accounting policies. Segment performance is primarily measured by EBITA. Segment income, expenses, assets, and liabilities comprise those items that, can be allocated on a reliable basis.

In 2025 a new operating model was implemented, which meant that more shared costs, assets and liabilities were allocated to the segments. These items were previously reported under 'Other areas' in the above segment information. Beside this change, some businesses has been moved out of the Danfoss Climate Solutions and Danfoss Electronics and Drives segment and relocated to 'Other areas'. The main reallocation relates to the Automotive business, which is now reported as Discontinued operations' in the Income statement. In the above tables, 'Discontinued operations' are not included in the Income statement data. Comparison figures for 2024 are restated to reflect the above impacts.

Items that are not allocated primarily include income and expenses incurred by corporate functions, deferred tax (assets and liabilities), cash, and interest-bearing liabilities.

Non-current segment assets are those non-current assets that are used directly for segment operations, including intangible assets and property, plant, and equipment as well as investments in associates and joint ventures.

Current assets are those current assets, which are used directly for segment operations, including inventories and receivables.

Segment liabilities comprise both non-current and current liabilities derived from segment operations, including payables, and warranty obligations, and other provisions.

Lease payments are recognized under segment expenses and capitalized lease assets are allocated to the segments. Capitalized lease liabilities and related depreciations and interest are recognized in 'Other areas.' Relevant adjustments are made in 'Other areas.' to eliminate for lease payments in segments.

Trade between segments takes place on market terms or on a cost-recovery basis.

Net sales from contracts with customers
The Group sells products and solutions that are used in areas such as refrigeration, air conditioning, heating, power conversion, motor control, industrial machinery, automotive, marine, and on- and off-highway equipment. We also provide solutions for renewable energy, such as solar and wind power, Power-to-X, heat recovery, and contribute to district energy solutions for cities. Net sales of products for resale and finished goods are recognized in the income statement when control of the products has been transferred to the customer. Control is transferred when the products are delivered, which occurs when the Group has objective evidence that all criteria for transfer of control have been satisfied. Sales are only recognized to the extent that it is highly probable that a significant reversal will not occur. Products are often sold with retrospective volume discounts. The above also means that the vast majority of our Net sales recognition is based on point in time recognition (>95%).

Net sales are recognized at the fair value of the consideration agreed, excluding VAT, duties, and discounts in relation to the sale. Accumulated experience is used to estimate variable considerations (expected value method).

The validity of assumptions and estimates are reassessed at each reporting date. Due to historically accurate estimates, it is highly probable that a significant reversal in the cumulative revenue recognized will not occur.

Related service income is recognized in the income statement as the services are rendered. Accordingly, the recognized sale corresponds to the sales value of the work performed during the year. This is determined basis of the actual costs incurred relative to the total expected costs. The sale of services is recognized in the income statement when the aggregated income and expenses of the service contract can be reliably measured and it is probable that the Group will receive the financial benefits, including payments.

The Group's standard payment term is 30 days net from the date of invoice or current month +15 days. However, there may be country-specific deviations from the standard payment terms. The Group does not expect to have any contracts where the period between the transfer of the promised products or services to the customer and payment by the customer exceeds one year. As a consequence, the Group does not adjust any of the transaction prices for the time value of money. A receivable is recognized when the products are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

The Group's obligation to repair or replace faulty products under the standard warranty terms is recognized as a provision.

Note 11 Leases

Lease liabilities are presented in borrowings of the Statement of financial position as follows:

EURm	2024	**2025**
Current	65	65
Non-current	234	275

The Group mainly leases buildings and cars. Lease payments are generally fixed. With the exception of short-term leases and leases of low-value underlying assets, each lease is reflected in the Statement of financial position as a right-of-use asset and a lease liability. The Group classifies its right-of-use assets in a consistent manner to property, plant, and equipment; see Note 10 Property, plant, and equipment. Each lease contract generally restricts the use of the right-of-use assets to the Group. Some lease contracts contain an option to extend the lease period or terminate the lease before the lease term. Management assesses whether or not it is reasonably certain that the option will be exercised after considering all relevant facts and circumstances.

The Group has decided not to recognize a lease liability for short-term leases (leases with an expected term of 12 months or less) or for leases of low-value assets. Payments made under such leases are expensed on a straight-line basis. The expenses related to payments, not included in the measurement of the lease liability, are below EUR 19m (2024: 18m).

At December 31, 2025, the Group had committed to leases not yet commenced. The total future cash outflows for leases that had not yet commenced are EUR 67m (2024: 61m), which are mainly for buildings.

Total cash outflow for leases for the financial year ended December 31, 2025, was EUR 113m (2024: 109m).

Further information on lease payment, interest expense on lease liabilities, additions, depreciation charge, carrying amount of right-of-use assets, and maturity analysis of lease liabilities is provided in Note 18 Change in liabilities arising from financing activities, Note 15 Financial income and expenses, Note 10 Property, plant, and equipment, and Note 17 Financial risks and instruments.

Note 12 Acquisition and sale of subsidiaries and activities

EURm							2024
Company/activity:		Country	Consolidated from/until	Holding acquired/sold	Net sales per year *)	No. of employees	Consideration paid/received
Danfoss Fire Safety A/S	Disposal	DK	Nov	100%	32	109	52

EURm							**2025**
Company/activity:		Country	Consolidated from/until	Holding acquired/sold	Net sales per year *)	No. of employees	Consideration paid/received
Palladio Compressors S.r.l. & Hydro Holding S.p.A.	Acquisition	IT	Oct/Dec	100%	54	331	132

*) Net sales in the financial year prior to the acquisition or sale.

There has not been any material acquisitions and disposals besides the above mentioned.

2024 Disposals:
On November 30, 2024 Danfoss completed the disposal of Danfoss Fire Safety A/S to Siemens. The divestment resulted in a net gain of EUR 32m, which is recognized in the consolidated income statement under 'Other operating income'. The divestment has been excluded from the consolidated financial statements as at December 1, 2024.

2025 Acquisitions:
December 2025, Danfoss completed the acquisition of Hydro Holding S.p.A., a leading manufacturer of hose fittings headquartered in Castello d'Argile, Italy. The company has a strong presence in the European market and brings extensive expertise in fluid conveyance solutions.

Note 12 Acquisition and sale of subsidiaries and activities — continued

Hydro Holding S.p.A. has been incorporated into the Fluid Conveyance division of Danfoss Power Solutions. The acquisition supports the ambition to accelerate profitable growth in line with the LEAP 2030 strategy. By adding Hydro Holding's capabilities and product portfolio, Danfoss strengthens its position as a market leader in hose fittings in Europe and creates a foundation for further innovation and customer value.

The acquisition has been included in the consolidated financial statements from December 31, 2025.

Acquisition-related transaction costs amounted to less than EUR 1m and have been included in 'Other operating expenses' in the consolidated income statement. Goodwill arising from the acquisition is attributable to the value of employees and synergies expected from combining the operations of Danfoss and Hydro Holding. The final PPA calculation will be completed within 12 months from the acquisition date.

On October 1, 2025, Danfoss completed the acquisition of Palladio Compressors S.r.l., an Italian specialist in screw compressor technology. The product range will be integrated into Danfoss Commercial Compressors' portfolio, enhancing capabilities in high-temperature heat pumps, industrial refrigeration and low-GWP applications. The acquisition has an insignificant impact on Danfoss' revenue and profit before tax.

2025 Disposals:
There were no major disposals in 2025. The reported figures include adjustments to previous year's disposals.

EURm	2024	2024	**2025**	**2025**
	Acqui-sitions	Disposals	Acqui-sitions	Disposals
Intangible assets, except goodwill	-3	5	-48	
Property, plant, and equipment		3	-13	2
Inventories		10	-22	2
Receivables *)		9	-11	2
Cash and cash equivalents		1	-6	
Interest-bearing debts			6	
Provisions, including deferred tax liabilities	2	-1	16	
Trade and other payables		-8	15	-1
Net assets acquired	-1	19	-63	5
Goodwill/profit on disposal	-2	34	-75	-2
Net assets, including goodwill(-)/profit on disposal	-3	53	-138	3
Cash and cash equivalents	-1	-1	6	
Consideration, net of cash	-4	52	-132	3
Change in short-term payables/receivables/provisions	-7	2	-8	-1
Net cash paid(-)/received	-11	54	-140	2

*) Receivables in acquisitions includes a provision for bad debt of EUR 0m (2024: 0m).

Accounting policy

Business combinations
Newly acquired or established companies are recognized in the consolidated financial statements from the acquisition date, and divested companies are recognized in the consolidated income statement until the time of divestment. Comparative figures are not restated for newly acquired companies. Unless divested companies are classified as discontinued operations, comparative figures are not restated. When the Danfoss Group takes over control of acquired companies, the purchase method is applied. This means that the identifiable assets and liabilities, including contingent liabilities, of the acquired companies are stated at fair value at the acquisition date. Identifiable intangible assets are recognized if they can be separated or arise from a contractual right. The tax effect of revaluations is recognized. The time of takeover is the date when the Danfoss Group de facto obtains control of the acquired company.

Further information available
on Danfoss' website: danfoss.com

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Contact address:
Danfoss A/S
Nordborgvej 81
6430 Nordborg
Denmark
Tel.: +45 7488 2222
CVR no. 20165715 (registration number with the Danish Business Authority)
Email: danfoss@danfoss.com

Explore our solutions
danfoss.com